

Location Choices of Community Banks and Redlining: The case of Minority Depository Institutions

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Abstract

I study the present-day proximity of urban community banks, Minority Depository Institutions (MDIs) to historically segregated urban neighborhoods. Using a Poisson Generalized Estimating Equation (GEE) framework, I investigate whether MDIs are more likely to locate in historically “redlined” (Graded D) census tracts based on the Home Owners’ Loan Corporation’s (HOLC) “residential security maps”. I find the expected number of Black MDIs increase 10 percent, whereas those of non-MDI banks decrease 1 percent for each ten point increase in the tract’s redlined area. I also find Asian MDIs and Hispanic MDIs location choices are negatively correlated with the tract’s redlined areas. Rather, their expected numbers increase 4 percent and 1.1 percent for each percent increase in Asian-language and Spanish speakers at the tract level respectively. The findings reflect how historical federal policies shape the banking landscape and how Black-owned banks co-exist as community banks with larger banks in their local markets.

JEL Classification Codes: G20, G21 , R12

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